

In re: Adolfo Meza Holguin Living Trust, 25PR-0362

Hearing: Demurrer

Date: September 9, 2026

Joanne Kay Holguin (Petitioner) filed a Petition to Determine Entitlement and to Invalidate Transfer of Community Property and For Instructions to Trustee on October 24, 2025, relating to the Adolfo Meza Holguin Living Trust (the Trust).

Adolfo Meza Holguin (Trustor), owned real property located at 753 S. Traffic Way in Arroyo Grande (the Property) prior to his marriage to Petitioner. (Ptn., ¶¶ 4-7.) On May 4, 2004, Mr. Holguin executed a pour over will and Trust and executed a deed conveying the Property into the Trust. (Ptn., ¶¶ 5-6.) Trustor and Petitioner wed on August 22, 2004, with no pre-nuptial agreement. (Ptn., ¶ 7.) Trustor died on February 19, 2024. (Ptn., ¶ 17.)

Petitioner alleges that she has a community property interest in the Property, which is titled in the Trust, and that she has a life estate in the Property. (Ptn. ¶¶ 19-23.) The Petition seeks an order that 1) the Court set aside the transfer of Petitioner's community property interest in the Property to the beneficiaries of the Trust and confirm that community property interest as Petitioner's sole individual property; and 2) give instructions to the Trustee that Petitioner is entitled to a life estate in the Property under the provisions of the Second Amendment to the Trust.

Angela Drees, Trustee of the Trust (Trustee), now demurs to the Petition.¹

The notice of demurrer and demurrer were served on Petitioner by mail at her address of record. No opposition was filed.

The Court grants Petitioner's request for judicial notice of Exhibits C-F, records from a related unlawful detainer action, case no. 24LC-1091, pursuant to Evidence Code section 452(d).

I. Legal Standard

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack, or from matters outside the pleading that are subject to judicial notice. (Code Civ. Proc., § 430.30, subd. (a).)

A demurrer tests only the legal sufficiency of the pleading, and “[t]he facts alleged in the pleading are deemed to be true, however improbable they may be. [citation].” (*Berg & Berg Enterprises*,

¹ Trustee is one of Trustor's three daughters, all one-quarter beneficiaries of the Trust. Pursuant to the Second Amendment to the Trust, Petitioner is the final one-quarter beneficiary.

LLC v. Boyle (2009) 178 Cal.App.4th 1020, 1034.) While the Court must accept as true all material facts properly pled, it may disregard logical inferences, contentions, or conclusions of fact or law. (*Schep v. Capital One, N.A.* (2017) 12 Cal.App.5th 1331, 1335-1336; *Winn v. Pioneer Medical Group, Inc.* (2016) 63 Cal.4th 148, 152.) A demurrer must be overruled if the plaintiff has stated a cause of action under any possible legal theory. (*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379.)

When reviewing a demurrer, the court must draw all reasonable inferences in favor of the plaintiff, not the defendant. (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1239.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.)

II. Discussion

a. Claim Preclusion/Issue Preclusion²

Trustee first demurs on the grounds that the action is barred under the doctrines of res judicata (claim preclusion) and collateral estoppel (issue preclusion), arising from the judgment in the related unlawful detainer action, case no. 24LC-1091, in which judgment for possession of the Property was entered in favor of Trustee against Petitioner.

Claim preclusion prevents relitigation of the same cause of action in a second suit between the same parties or parties in privity with them. [Citation.] Claim preclusion arises if a second suit involves: (1) the same cause of action (2) between the same parties (3) after a final judgment on the merits in the first suit.” (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824 (*DKN Holdings*)).

Issue preclusion prohibits the relitigation of issues argued and decided in a previous case, even if the second suit raises different causes of action. (*DKN Holdings, supra*, at p. 824.) “[I]ssue preclusion applies: (1) after final adjudication (2) of an identical issue (3) actually litigated and necessarily decided in the first suit and (4) asserted against one who was a party in the first suit or one in privity with that party. (*Id.* at p. 825.)

Trustee contends that claim preclusion bars Petitioner’s entire Petition, as the issues either were or could have been adjudicated in the unlawful detainer action. (See *Colebrook v. CIT Bank, N.A.*

² Res judicata has historically been synonymous with claim preclusion, and issue preclusion is historically called collateral estoppel. However, sometimes res judicata has been used more broadly to encompass both issue and claim preclusion, (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824.) “To avoid [] confusion,” the Court follows the example of the California Supreme Court and uses the term “claim preclusion” to describe the primary aspect of the res judicata doctrine and “issue preclusion” to address the concept of collateral estoppel. (*Ibid.*)

(2021) 64 Cal.App.5th 259, 263.) Petitioner contends that the issues of ownership and tenancy were finally and fully litigated in the unlawful detainer action.

However, Trustee cites no authority applying the principles of res judicata or collateral estoppel to an unlawful detainer judgment and does not discuss the unique nature of an unlawful detainer judgment. “[A] judgment in unlawful detainer usually has very limited res judicata effect and will not prevent one who is dispossessed from bringing a subsequent action to resolve questions of title.” (*Vella v. Hudgins* (1977) 20 Cal.3d 251, 255 (*Vella*).)

Trustee has not shown that the issues of community property or a life estate in favor of Petitioner were fully or fairly litigated in that action, or that these issues could have been adjudicated in the unlawful detainer action, which is a summary action for possession. (*Vella, supra*, 20 Cal.3d at p. 257.) In fact, the Court’s ruling on the Motion to Amend or Modify Ruling on Unlawful Detainer includes a footnote specifying that “Holguin filed a separate trust proceeding (Case No. 25PR-0362) to address her interests the trust and the real property at issue.” (Pick Decl., Ex. E, p. 2, fn. 1.)

Petitioner fails to meet her burden at this time to show that claim preclusion or issue preclusion necessarily bar Petitioner’s Petition.

Trustee’s demurrer is overruled on the grounds of claim and issue preclusion.

b. Statute of Limitations

Trustee also contends that the statute of limitations bars any claims, because the Petition was brought beyond the deadline to challenge the Trust after service of notice to the beneficiaries under Probate Code § 16061.8. However, service of the notice is not pleaded on the face of the Petition or attached thereto, nor is the notice subject to judicial notice.

Trustee’s demurrer is overruled on the ground of the statute of limitations.

c. Statute of Frauds

Finally, Trustee demurs to the entire Petition on the grounds that Petitioner’s claims are barred by the statute of frauds. Family Code sections 850-853 requires a written transmutation in order for the recharacterization of separate property to be valid. “A transmutation of real or personal property is not valid unless made in writing by an express declaration that is made, joined in, consented to, or accepted by the spouse whose interest in the property is adversely affected.” (Fam. Code, § 852; see also Civ. Code § 1971 [no estate or interest in real property, other than leases for a term not exceeding one year, can be created, granted, assigned, surrendered, or declared, otherwise than by operation of law, or a conveyance or other instrument in writing].)

Petitioner alleges that she has a community property interest in the Property because community funds were used to reduce the principal balance of a loan on the separate property. (*In re Marriage of Moore* (1980) 28 Cal. 3d 366.)

However, Trustee contends that Petitioner has not alleged any valid transmutation of the Property from separate property to community property by a valid writing and does not show any community contribution to the Property.

Petitioner alleges that the decedent owned the Property prior to meeting her (Ptn., ¶ 4-7), put the Property into his trust prior to marrying her (Ptn., ¶¶ 6-7), did not include her on any title, including the reverse mortgage documents (Ptn., ¶ 6, 11, 16) and that only his income of social security and retirement pension, which were separate property, paid the Property's bills (Ptn., ¶¶ 8-13; Fam. Code, § 760; *In re Marriage of Peterson* (2016) 243 Cal.App.4th 923, 930-934; *In re Marriage of Stenquist* (1978) 21 Cal.3d 779, 783 [all pension rights attributable to employment before marriage constitute separate property].) Indeed, Petitioner alleges that during their marriage, her and Trustor's only income was from their social security benefits, and his small pension and 401k, all earned prior to the marriage. (Ptn., ¶¶ 8-9.)

Petitioner's allegations do not allege a transmutation nor any community property interest from community contributions to the Property at issue.

As to the life estate, Petitioner alleges that "Mr. Holguin intended for Mrs. Holguin to have a life estate in the real property. This will be proven at trial by way of testimony from Mrs. Holguin, from the mortgage broker who assisted the Holguins with their reverse mortgage, and by testimony from Mr. Holguin and Mrs. Holguin's children, respectively." (Ptn., ¶ 22.) A life estate is subject to the statute of frauds and must be in writing. (Civ. Code, § 1971; 4 Miller & Starr, Cal. Real Estate (4th ed. 2026) § 12:20.) No facts were alleged, and no opposition was made, showing facts taking the life estate outside of the statute of frauds.

Trustee's demurrer to the Petition on the grounds of failure to state a claim and the statute of frauds is granted.

ORDER

Trustee's demurrer to the Petition is sustained. Because Petitioner failed to oppose the motion or show how she could amend to state a claim, leave to amend is denied.